US were over $1 billion (Rs 9,000 cr.). That exposure turned into a liability in August, when Washington imposed punitive tariffs of up to 50 per cent on Indian manufactured exports, including leather and footwear.

For a low-margin industry where pricing determines sourcing decisions, the impact was devastating. According to Asad K. Iraqi, regional chairman (Central), Council for Leather Exports, business with the US "went almost nil". The new India-US trade understanding has stabilised that downside. The additional US levy has been brought down to 18 per cent from earlier levels of up to 50 per cent, alongside a base tariff of around 10 per cent. "The reduction of the additional US tariff to 18 per cent will give us a major benefit. We are hoping to recover all the US business we lost since August last year," he says. Compared with competitors such as Bangladesh, Vietnam, Cambodia and China, India now faces a relatively lower additional tariff burden.

If the US deal arrests the damage, the India-EU FTA opens fresh upside. The EU imports nearly $100 billion worth of leather and footwear annually, but India's share remains modest. Under the FTA, tariffs of up to 17 per cent on leather and footwear will be cut to zero, sharply improving cost competitiveness in mass and mid-premium segments. Indian exporters had already begun pivoting to Europe to offset the US hit, and duty-free access now strengthens that strategy. Meanwhile, the tariff shock has accelerated diversification into newer markets such as Russia and parts of Africa—a shift exporters say is unlikely to reverse. But exporters are looking forward to the growing prospect of European and UK firms setting up joint ventures in Indian leather clusters to expand production and employment and become a hub of manufacturing.

—Avaneesh Mishra



"The reduction of the additional US tariff to 18% will give us a major benefit. We hope to recover all the US business we lost since August"

— ASAD K. IRAQI, Regional Chairman (Central), Council for Leather Exports



	US DEAL	EU DEAL
Gems/jewellery exports to the US / EU (FY25)	$9.2 bn	$2.7 bn
	50%	2-4%
	0-18%*	0%
Gems/jewellery imports from the US / EU (FY25)	$1.3 bn	$2.5 bn
	5-25%	0-25%
	0%	0%

*0% for natural diamonds; 18% for jewellery

Earlier tariff | Tariff now

December, while diamond exports slumped 60 per cent to $1.45 billion (Rs 13,149 crore), as buyers shifted sourcing to lower-tariff nations.

The interim trade framework with the US has seen duties on jewellery reduced to 18 per cent, offering immediate relief, while diamonds and coloured gemstones are expected to return to zero-duty access once the agreement is concluded. "We are confident that diamonds and coloured gemstones will receive full zero-duty treatment, restoring competitiveness in our most critical market," said Kirit Bhansali, chairman of the Gems and Jewellery Export Promotion Council (GJEPC).

If the US deal stabilises the downside, the India-EU trade agreement gets a fresh upside. Tariffs will fall from 4 per cent to zero, significantly improving margins. Loose diamonds and gemstones were already entering the EU duty-free. In 2024, India had exported $2.7 billion (Rs 24,485 crore) worth of gems and jewellery to the EU.

Currently, India has a 4.11 per cent share of EU's gold jewellery imports and 2 per cent of imitation jewellery. "With zero-duty access, bilateral trade can double to $10 billion in the future," says Bhansali.

Non-tariff barriers remain the main constraint. Strict quality and environmental norms require extensive testing, alongside supply-chain transparency and hallmarking standards. But with natural diamond prices down and inventories piled up, exporters are now more willing to invest in compliance to secure long-term access. The US and EU deals also give India's gems and jewellery sector a vital window to diversify markets and re-employ the artisans it was forced to let go.

—Jumana Shah



"We are sure diamonds, coloured gemstones will get full zero-duty treatment, restoring parity in our most critical US market"

—KIRIT BHANSALI, *Chairman, GJEPC*